

Document 4. Singapore Evidence Bank

One A4 sheet per macro topic. Curated Singapore policy facts, agencies and recent data points to anchor every macro response in context. *NOTE: Always state the policy, the implementing agency, the mechanism, and at least one outcome. Out-of-date figures are still acceptable if attributed to a year.*

Section A. Economic Growth and Productivity

- **Real GDP growth.** Singapore's average real GDP growth has trended from ~5–7% in the 2000s to ~2–3% in the 2020s as the economy matured.
- **Productivity push. Research, Innovation and Enterprise (RIE) 2025** budgeted S\$25 billion for R&D. **A*STAR** co-funds applied research with industry.
- **EDB** attracts FDI into high-value sectors: pharma, semiconductors, advanced manufacturing.
- **SkillsFuture (SSG)** upgrades human capital, complemented by **Career Conversion Programmes (CCPs)** under Workforce Singapore.
- **Inclusive and sustainable growth. Progressive Wage Model (PWM), Workfare Income Supplement (WIS), Green Plan 2030.**

Section B. Inflation

- **Headline CPI vs MAS Core Inflation.** MAS focuses on *core inflation*, which excludes accommodation and private transport.
- **Imported inflation** dominates because the import content of domestic expenditure is roughly 40%. Hence MAS controls inflation via the S\$NEER.
- **Anti-inflation policy mix.** MAS exchange rate appreciation (primary) + supply-side measures (productivity, foreign worker quotas) + targeted transfers (GST Vouchers, U-Save rebates).
- **GST hike** from 7% → 8% (Jan 2023) → 9% (Jan 2024), buffered by the Assurance Package.

Section C. Unemployment and Labour

- **Resident unemployment** historically ~2–3%; tightened to < 2% in 2023.
- **Structural unemployment** addressed via **SkillsFuture, Workfare Skills Support (WSS), Professional Conversion Programmes (PCP)**.
- **Cyclical unemployment (2020 COVID): Jobs Support Scheme (JSS), SGUnited Jobs and Skills Package, Jobs Growth Incentive (JGI).**
- **Foreign manpower policy. Employment Pass (EP), S Pass, Work Permit**, with dependency ratio ceilings and foreign worker levies.

Section D. Balance of Payments and Trade

- **Persistent current account surplus** of roughly 15–20% of GDP — channelled into national reserves via **GIC** and **Temasek**.

- **Net Investment Returns Contribution (NIRC)** is the single largest source of government revenue, contributing >20% of the Budget annually.
- **Trade-to-GDP ratio** >300% — one of the most open economies in the world.
- **Free Trade Agreement network:** 27+ FTAs including **CPTPP**, **RCEP**, **USSFTA**, **EUSFTA**.

Section E. Exchange Rate (MAS Framework)

- **Three parameters** of the S\$NEER policy band: **slope**, **width**, **centre**.
- **Tightening:** steepen slope (faster appreciation) or re-centre upward. Used 2010–11, 2018, 2021–2023 (five tightenings in 18 months).
- **Easing:** flatten slope, widen band, or re-centre downward. Used 2015 (oil-price collapse), 2020 (COVID).
- **Why exchange rate, not interest rate?** Small open economy with high import content; the impossible trinity forces a choice between independent MP and a free capital account.

Section F. Fiscal Policy

- **Fiscal prudence rule.** The Constitution requires a balanced Budget over each term of government.
- **Reserves protection.** Past reserves cannot be drawn without the President's approval; the NIRC frame caps the use to 50% of expected long-run real returns.
- **Budget tools.** GST (8% → 9%), Corporate Income Tax (17%), Personal Income Tax (top marginal 24% from YA2024), property cooling measures (ABSD).
- **Transfers.** Assurance Package, GST Vouchers, CDC vouchers, U-Save, Service & Conservancy rebates.
- **Development expenditure.** CRL/JRL MRT lines, Tuas mega-port, Changi T5, HDB build-to-order.

Section G. Monetary Policy (MAS)

- **Operating target:** the S\$NEER, not an interest rate.
- **Domestic interest rates** (SORA, formerly SIBOR/SOR) are determined primarily by US rates with a small risk premium, due to the open capital account.
- **Macroprudential tools** complement MP: LTV limits, Total Debt Servicing Ratio (TDSR), ABSD on housing.
- **October Monetary Policy Statement.** MAS issues two MPSs per year (April and October); occasionally off-cycle tightenings (e.g. January 2022).

Section H. Supply-Side Policies (Long-Run)

- **Human capital.** SkillsFuture credits (\$500 base + top-ups), ITE / polytechnics, university expansion.
- **Physical capital.** EDB grants, R&D tax incentives, Productivity Solutions Grant.
- **Technology.** Smart Nation initiative; AI Singapore; semiconductor industry roadmap.

- **Land.** URA Master Plan 2019, Tuas mega-port, decentralisation (Jurong Lake District, Punggol Digital District).
- **Immigration policy.** EP qualifying salary raised; **COMPASS** points-based framework for EP from Sep 2023.

Section I. Standard of Living and Inequality

- **Real GDP per capita** among the highest in the world (PPP basis > US\$130k).
- **Gini coefficient** (after taxes & transfers): around 0.37 in recent years, down from ~0.47 before transfers.
- **HDI rank:** top 12 globally.
- **Income support.** Workfare, ComCare, MediSave / MediShield Life / MediFund / CareShield Life.
- **Housing.** HDB home ownership > 80% of residents.

Section J. Climate and Sustainability

- **Carbon tax.** S\$5/tCO₂e in 2019–2023; raised to **S\$25/tCO₂e in 2024**, projected to reach **S\$45 by 2026–2027** and S\$50–80 by 2030.
- **Singapore Green Plan 2030.** Targets net-zero by 2050.
- **EV adoption** incentivised via Vehicular Emissions Scheme (VES), EV Early Adoption Incentive.

Section K. Key Agencies (single-line reference)

MAS – monetary policy, financial regulation. **MOF** – fiscal policy. **MTI** – trade and economic strategy. **MOM** – labour and manpower. **EDB** – attracts FDI. **ESG (Enterprise Singapore)** – supports SMEs and exports. **A*STAR** – public-sector R&D. **HDB** – public housing. **URA** – land-use planning. **LTA** – transport. **IRAS** – tax administration. **SSG / WSG** – skills upgrading and employment matching.